NOTE 9 - INCOME TAXES

The Company maintains deferred tax assets and liabilities that reflect the net tax effects of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. The deferred tax assets at December 31, 2015 and 2014 consist of net operating loss carryforwards. The net deferred tax asset has been fully offset by a valuation allowance because of the uncertainty of the attainment of future taxable income. The items accounting for the difference between income taxes at the effective statutory rate and the provision for income taxes for the years ended December 31, 2015 and 2014 were as follows:

	Years Ended December 31,	
	2015	2014
Income tax expense (benefit) at U.S. statutory rate of 34%	$ (584,775)	$ (1,961,253)
Income tax benefit – state	(111,795)	(374,946)
Non-deductible expenses	316,736	1,718,378
Change in valuation allowance	379,834	617,821
Total provision for income tax	$ -	$ -

The Company's approximate net deferred tax asset as of December 31, 2015 and 2014 was as follows:

Deferred Tax Asset:	December 31, 2015	December 31, 2014
Net operating loss carryforward	$ 1,057,973	$ 678,139
Total deferred tax asset	1,057,973	678,139
Less: deferred tax liability: deferred rent receivable	(152,248)	(11,351)
Net deferred tax assets before valuation allowance	905,725	666,788
Valuation allowance	(905,725)	(666,788)
Net deferred tax asset	$ -	$ -

NOTE 9 - INCOME TAXES (continued)

The net operating loss carryforward was approximately $2,612,280 at December 31, 2015. The Company provided a valuation allowance equal to the deferred income tax asset for the years ended December 31, 2015 and 2014 because it was not known whether future taxable income will be sufficient to utilize the loss carryforward. The increase in the allowance was $238,937 in 2015. The potential tax benefit arising from the loss carryforward will expire in 2035.

Additionally, the future utilization of the net operating loss carryforward to offset future taxable income may be subject to an annual limitation as a result of ownership changes that could occur in the future. If necessary, the deferred tax assets will be reduced by any carryforward that expires prior to utilization as a result of such limitations, with a corresponding reduction of the valuation allowance.

The Company does not have any uncertain tax positions or events leading to uncertainty in a tax position. The Company's 2015 and 2014 Corporate Income Tax Returns are subject to Internal Revenue Service examination.

Interest and penalties associated with unrecognized tax benefits, if any, are classified as additional income taxes in the statement of operations.